Titaghur investment proved unsatisfactory, while the new plant of West Coast Paper was a great success.[22]

ICICI assisted traditional industries in their modernization and expansion projects. It also helped to set up non-traditional industries such as chemicals, engineering, fertilizers, and tractors. Soon after Parekh took over as the General Manager in 1958, his first major operation was to assist Premier Automobiles, which was in a bad shape and whose share was quoted around ₹60 (par value ₹100). IFCI had given a loan of ₹50 lakhs but the Company was unable to raise further finance which it needed to survive. The Company had been making losses for many years. Assessed purely on economic or business grounds, Premier Automobiles would never have qualified for a loan but Parekh took the view that the automobile industry had a future in a country where there were only two manufacturers (Premier Automobiles and Hindustan Motors which made Fiat and Ambassador cars respectively). Parekh worked out a scheme of convertible debentures which gave the investor the option to fully convert debentures into equity at par in the first three years and at a premium of ₹25 if converted in the following two years.[23]

Parekh also persuaded IFCI to convert its loan of ₹50 lakhs into these debentures and got LIC and ICICI to underwrite the balance after the issue was first offered to the shareholders and the public. With the share quoting at ₹60 and the public having little faith in the Company, the issue was heavily undersubscribed, and it fell to the lot of the two underwriters LIC and ICICI to make good the deficit. ICICI's Directors were not keen on this issue, but Parekh used his powers of persuasion to get them to approve what was at that time a novel type of instrument. Matters were made worse by a strike called by the Company's workers at that time and a nervous Parekh called a special Board meeting to confirm ICICI's commitment. But in the next few years the outlook improved and with buoyancy in the market the Premier share rose as high as ₹180. Later, without consulting ICICI, the Company decided to issue fresh capital at par. The agreement had not provided any checks against such an eventuality. Parekh was upset as they were forced to convert their debentures into equity to avail of the right to new shares. Parekh says that they had to nurse the equity for a long time as the markets had collapsed because of the Indo-China war. But there was a happy ending since ICICI came out of the deal profitably.[24]